Iran under the Shah

Key question
Why was Iran so important to the British?

At the start of the twentieth century, Iran was ruled by a monarch, known as the **Shah**. Iran was independent but the oilfields in the south were controlled by a British company that paid the Shah's government for the right to operate the oilfields. So, as in Iraq, the British controlled the oilfields, mainly in order to fuel the navy, and most of the profits went to the British company. It is important to remember that Britain was the world's greatest imperial power in the early twentieth century: it governed much of what is today India, Pakistan and Bangladesh, as well as Malaysia, Burma, Singapore and Hong Kong further east.

Key term
Shah
The title of the King or Emperor of Iran. It is similar to Tsar, the name of the Russian monarch, or Kaiser, the German emperor.

After the Second World War, an increasing number of Iranians demanded that their government take control of the oilfields. They insisted that their government should get at least half of the oil profits rather than most of them going to the British-owned Anglo-Iranian Oil Company (which later became the British Petroleum Company, or BP). The leading Iranian nationalist was Mohammed Mossadeq, a member of the Iranian parliament. He argued that: 'The oil resources of Iran, like its soil, its rivers and mountains, are the property of the people of Iran.'

Mossadeq gained huge popular support and, in 1951, the Shah was forced to appoint him Prime Minister. The Iranian parliament then passed a law to nationalise the oil industry so that Iranians, not the British, were in charge. This defiant move thrilled the Iranians. Many in the Arab world also applauded and Mossadeq became a hero to millions, both in and beyond Iran.

In retaliation the British company withdrew its workforce and refused to allow any of its technicians work with the new Iranian National Oil Company. The British also persuaded other Western oil companies not to buy Iran's oil and the British navy imposed a blockade on Iran's ports.

The overthrow of Mossadeq's government 1953

Key question
What was the significance of the 1953 coup?

Iran's income from oil sales dwindled but Mossadeq remained hugely popular for standing up to the West and asserting Iran's independence. Meanwhile, the British tried to persuade the USA to join them in overthrowing Mossadeq. They did this by emphasising the Soviet threat to Iran and playing on America's fear that the Soviet Union might extend its influence into Iran and even get its hands on Iran's oil. After all, this was at the height of the Cold War and Iran had a long border with Soviet Russia. Eventually, in 1953, the Americans were convinced of the need to topple Mossadeq. With British help, they used threats and money to pressurise the Shah into dismissing Mossadeq and replacing him with a more pro-Western Prime Minister. Mossadeq was put on trial and imprisoned while the Iranian parliament was closed down. Years later, an American government minister admitted the coup was a 'setback for democratic government' in Iran.

Key date
Overthrow of Mossadeq's government in Iran: 1953